A comparative statement is a financial statement that helps compare components of a business's income statement and balance sheet over a duration of at least two periods, in percentage and absolute form.

With the help of such a statement, businesses can identify the problem areas and check whether their current performance aligns with the set objectives. This helps them take corrective measures if necessary. In addition, the statement consists of the financial data from multiple periods in side-by-side columns. This helps one get an idea of a business's progress easily.

This technique is also called **Horizontal Analysis**.

A format of comparative financial statement is given below: -

GKSR Income Statement	2006	2007	Increase ($)	% YoY change
Rental Operations	801,240	847,401	46,161	5.8%
Direct Sales	79,603	82,141	2,538	3.2%
Net Revenues	$880,843	$929,542	$48,699	5.5%
Cost of rental operations	(518,543)	(541,392)	(22,849)	4.4%
Cost of direct sales	(57,522)	(59,579)	(2,057)	3.6%
Selling and administrative costs	(186,652)	(203,614)	(16,962)	9.1%
Operating Expenses	($762,717)	($804,585)	($41,868)	5.5%
			-	
Ebitda	$118,126	$124,957	$6,831	5.8%
Depreciation	(32,479)	(34,789)	(2,310)	7.1%
Amortization of intangibles	(10,784)	(10,806)	(22)	0.2%
Ebit	$74,863	$79,362	$4,499	6.0%
Interest Expense	(13,226)	(13,901)	(675)	5.1%
Income before income taxes	$61,637	$65,461	$3,824	6.2%
Provision for taxes	(19,786)	(22,271)	(2,485)	12.6%
PAT	$41,851	$43,190	$1,339	3.2%
Basic EPS	$1.98	$2.03	$0.05	2.5%
Diluted EPS	$1.97	$2.02	$0.05	2.4%

[Current year – Base year] / [Base year]

Why provision for tax has increased by 12.6%, while the revenues increased by only 5.5%?

Why there is an increase of 9.1% in Selling and administrative cost?

3.3.3.2 COMMON – SIZE STATEMENT

Common Size of financial statements is a technique used to identify where a company has applied its resources and in what proportions those resources are distributed among the various balance sheet and income statement accounts.

The analysis determines the relative weight of each account and its share in asset resources or revenue generation.

In the common size, each element of financial statements (Income Statement and Balance sheet) is shown as a percentage of another item.

In the case of the Income Statement, each element of income and expenditure is defined as a percentage of the total sales. The assets, liabilities, and share capital is represented as a percentage of total assets or total equity & liabilities.

This technique is also called VERTICAL ANALYSIS.

A specimen of common- size statement is given below: -

APPLE INC.
Common-Size Comparative Income Statements
For Years Ended September 28, 2013, and September 29, 2012

			Common-Size Percents*	
(in millions)	2013	2012	2013	2012
Net sales	$170,910	$156,508	100.0%	100.0%
Cost of sales	106,606	87,846	62.4	56.1
Gross margin	64,304	68,662	37.6	43.9
Research and development	4,475	3,381	2.6	2.2
Selling, general and administrative	10,830	10,040	6.3	6.4
Total operating expenses	15,305	13,421	9.0	8.6
Operating income	48,999	55,241	28.7	35.3
Other income, net	1,156	522	0.7	0.3
Income before provision for income taxes	50,155	55,763	29.3	35.6
Provision for income taxes	13,118	14,030	7.7	9.0
Net income	$ 37,037	$ 41,733	21.7%	26.7%

* Percents are rounded to tenths and thus may not exactly sum to totals and subtotals.

3.3.3.3 RATIO ANALYSIS

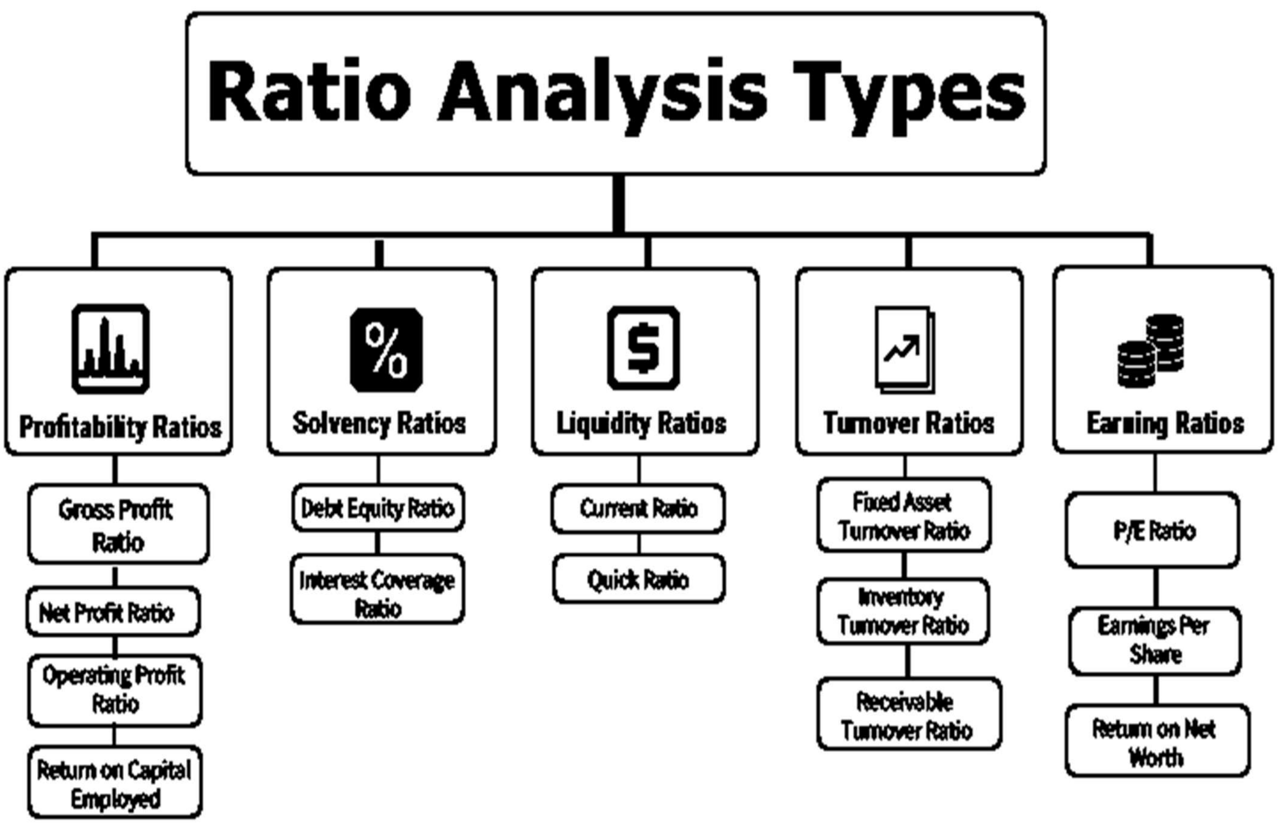
Ratio analysis is the quantitative interpretation of the company's financial performance. It provides valuable information about the organization's profitability, solvency, operational efficiency and liquidity positions as represented by the financial statements.

Ratio analysis is useful in the following ways:

1. Comparing Financial Performance: One of the most important things about ratio analysis is that it helps in comparing the financial performance of two companies.

2. Trend Line: Companies tend to use the activity ratio in order to find any kind of trend in the performance. Companies use data from financial statements that is collected from financial statements over many accounting periods. The trend that is obtained can be used for predicting the future financial performance.

3. Operational Efficiency: Financial ratio analysis can also be used to determine the efficiency of managing the asset and liabilities. It helps in understanding and determining whether the resources of the business is over utilised or underutilised.



TYPES OF RATIOS

There are numerous financial ratios that are used for ratio analysis, and they are grouped into the following categories:

1. Liquidity ratios

Liquidity ratios measure a company's ability to meet its debt obligations using its current assets. Some common liquidity ratios include the quick ratio, the cash ratio, and the current ratio.

2. Solvency ratios

Solvency ratios measure a company's long-term financial viability. Important solvency ratios include the debt to capital ratio, proprietary ratio, interest coverage ratio, and equity multiplier.

3.Profitability Ratios

Profitability ratios measure a business' ability to earn profits, relative to their associated expenses. Some examples of important profitability ratios include the return on equity ratio, return on assets, profit margin, gross margin, and return on capital employed.

4. Efficiency ratios

Efficiency ratios measure how well the business is using its assets and liabilities to generate sales and earn profits. Some of the important efficiency ratios include the asset turnover ratio, inventory turnover, payables turnover, working capital turnover,

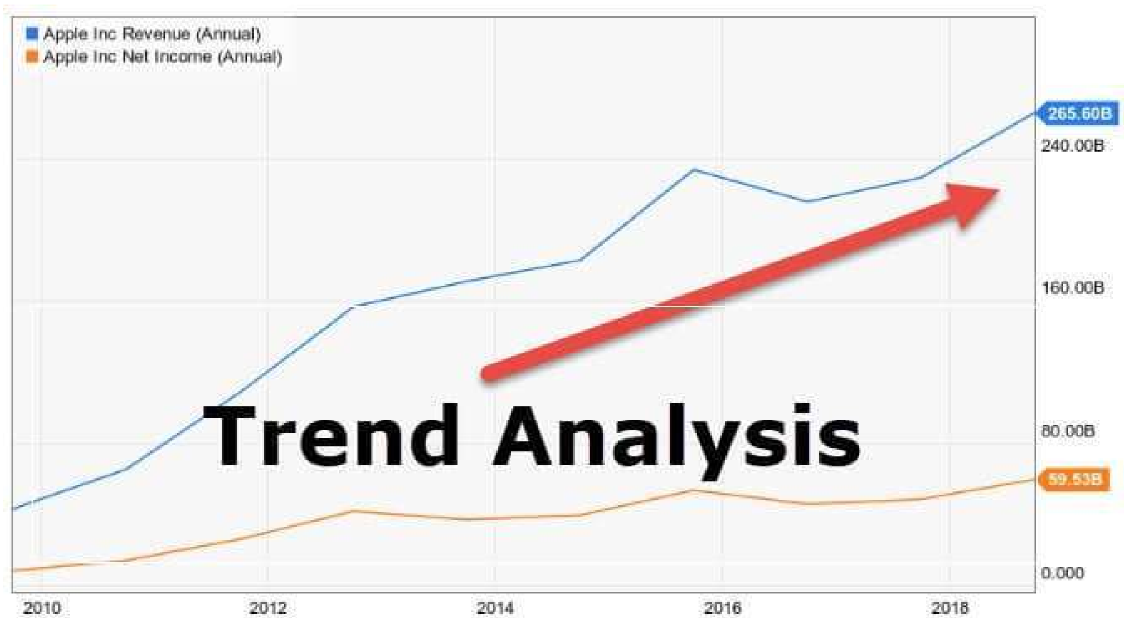
5. Coverage ratios

Coverage ratios measure a business' ability to service its debts and other obligations. Key coverage ratios include the debt coverage ratio, interest coverage.

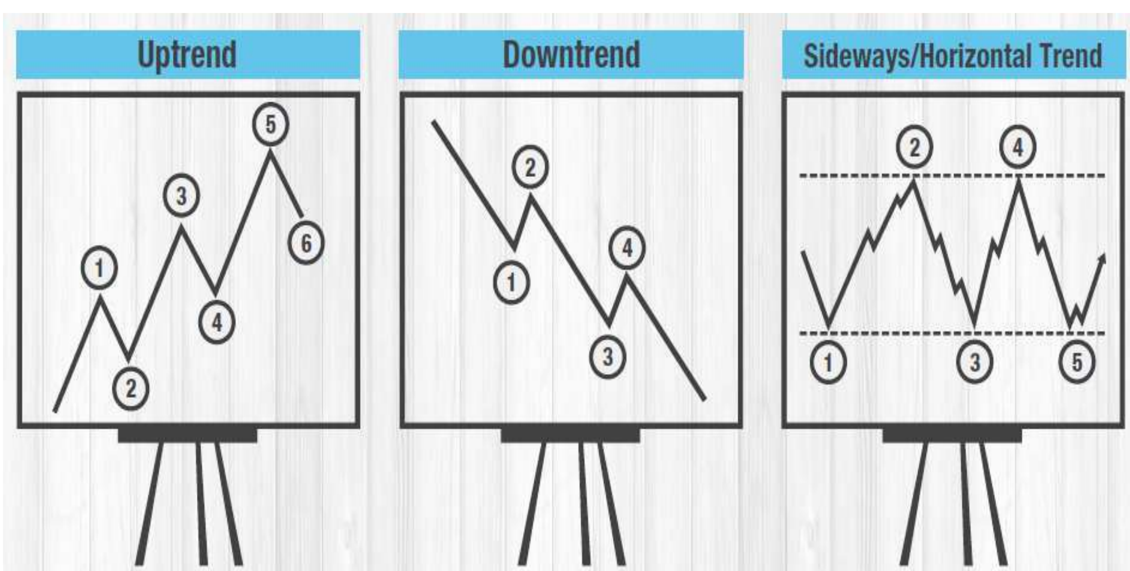
3.3.3.4 TREND ANALYSIS

Trend analysis is an analysis of the trend of the company by comparing its financial statements to analyze the trend of the market or analysis of the future based on past performance results.

Trend analysis involves collecting the information from multiple periods and plotting the collected information on a horizontal line to find actionable patterns from the given information.



TYPES OF TRENDS: -



CHAPTER 4:

RESEARCH METHODOLOGY

4.1 OBJECTIVE OF THE STUDY

- To know about company's liquidity and solvency position.
- To perform intra-firm comparison of different time periods.
- To determine company's position in terms of profitability and returns on investment.
- To know about changes in assets and liabilities over the given time period.

4.2 NATURE OF STUDY

This study is analytical in nature.

4.3 NATURE OF DATA

Secondary data is used for analysis.

4.4 SOURCE OF DATA

Data is collected from CA YOGESH KUMAR (Proprietor of Yogesh Romesh & Associates).

4.5 TIME-PERIOD OF STUDY

Data of 5 financial years is used for this analysis: - 2017-18, 2018-19, 2019-20, 2020-21 & 2021-22

4.6 TECHNIQUES USED FOR ANALYSIS

Following techniques for financial statement analysis are used:

- COMPARATIVE STATEMENT
- COMMON-SIZE STATEMENT
- RATIO ANALYSIS
- TREND ANALYSIS

4.7 LIMITATIONS: - Data to measure some important ratios couldn't be found in financial statements.

As data is collected from secondary source, it's reliability can be doubted.

CHAPTER 5:

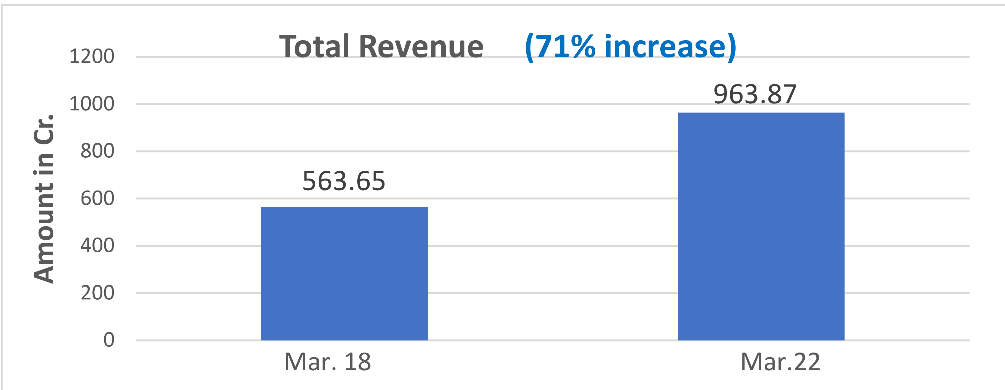
ANALYSIS & INTERPRETATION

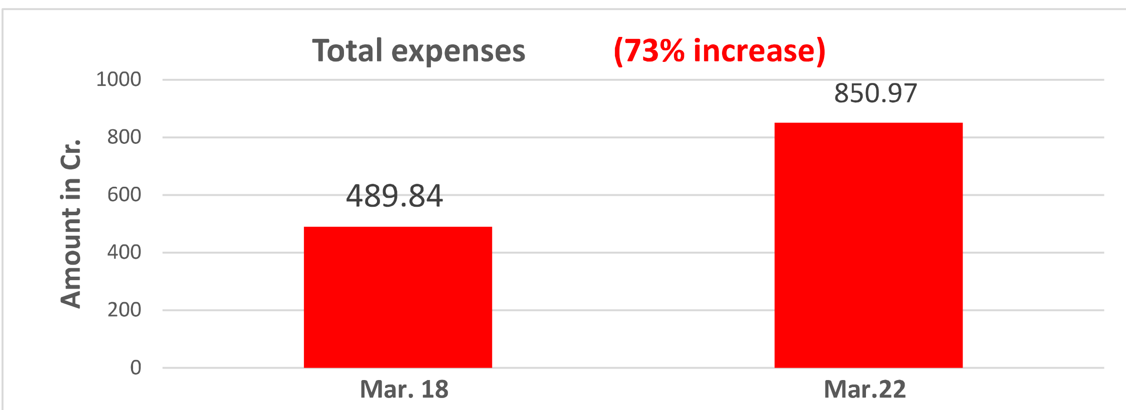
5.1 COMPARATIVE PROFIT & LOSS ACCOUNT

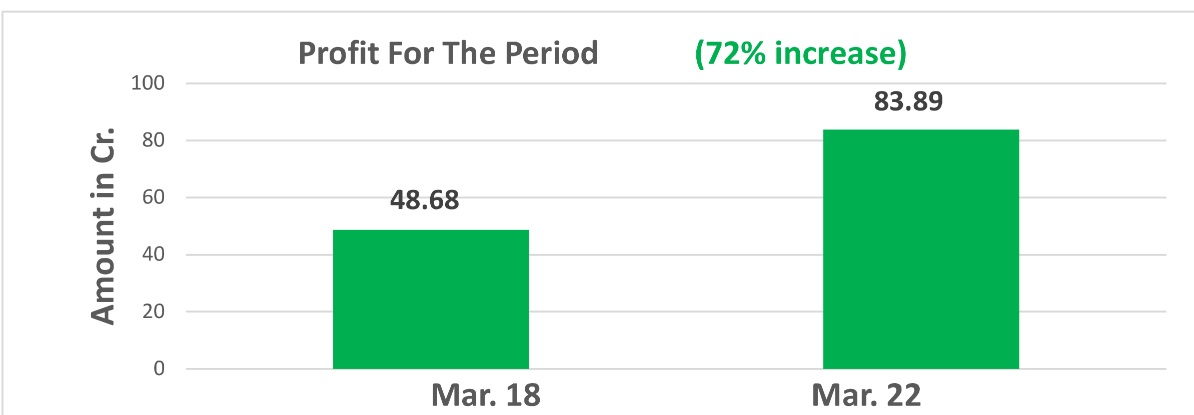
E	F	G	H	I
COMPARATIVE PROFIT & LOSS ACCOUNT(in Rs. Cr.)				
	Mar-18	**Mar-22**	**Absolute Change (G-F)**	**%ge change (H/F*100)**
Particulars	12 mths	12 mths	12 mths	12 mths
INCOME				
Revenue from Operations [Gross]	549.82	945.37	395.55	71.94
Less: Excise/Service Tax/ Other Lev	4.05	0	-4.05	-100.00
Revenue from Operations [Net]	545.77	945.37	399.6	73.22
Other Operating Revenues	6.79	12.64	5.85	86.16
Total Operating Revenues	552.56	958.01	405.45	73.38
Other Income	11.09	5.86	-5.23	-47.16
Total Revenue	**563.65**	**963.87**	**400.22**	**71.01**
EXPENSES				
Cost of Materials Consumed	183.67	393.18	209.51	114.07
Purchase of Stock-in-Trade	60.67	150.03	89.36	147.29
Changes in Inventories of FG, WIP and Stock-in Trade	16.17	-54.39	-70.56	-436.36
Employee Benefit Expenses	76.09	106.19	30.1	39.56
Finance Costs	4.14	6.06	1.92	46.38
Depreciation and Amortisation Ex	3.66	6.66	3	81.97
Other Expenses	145.44	243.24	97.8	67.24
Total expenses	**489.84**	**850.97**	**361.13**	**73.72**
	Mar-18	**Mar-22**	1461	3.39
	12mths	12 mths		
Profit/Loss Before Exceptional, Ext Ordinary Items and Tax	**73.81**	**112.91**	**39.1**	**52.97**
Profit/Loss Before Tax	**73.81**	**112.91**	39.1	52.97
Tax Expenses- Continued Operations				
Current Tax	24.64	28.27	3.63	14.73
Deffered Tax	0.49	0.75	0.26	53.06
Total Tax Expenses	**25.13**	**29.02**	3.89	15.48
Profit/Loss After Tax And Before ExtraOrdinary Items	**48.68**	**83.89**	35.21	72.33
Profit/Loss From Continuing Oper	**48.68**	**83.89**	35.21	72.33
Profit/Loss For The Period	**48.68**	**83.89**	**35.21**	**72.33**

INTERPRETATION

- Net Sales increased by around 75% over the given period.
- Total Revenue showed a rise of 71%
- With revenue, expenses also increased by 73.7%
- An increase from Rs.48.68cr. to Rs.83.89cr., i.e., of around 72% can be noticed in profits.







5.2 COMPARATIVE BALANCE SHEET

E	F	G	H	I
	COMPARATIVE BALANCE SHEET (in Rs. cr.)			
	Mar-18	Mar-22	Absolute Change (G-F)	%age Change (H/F*100)
Particulars	12 mths.	12 mths	12 mths	12 mths
EQUITIES AND LIABLITIES				
SHAREHOLDER'S FUNDS				
Equity Share Capital	5.29	5.29	0	0
Total Share Capital	**5.29**	**5.29**	**0**	**0**
Reserves and Surplus	104.53	207.89	103.36	98.88
Total Reserves and Surplus	**104.53**	**207.89**	**103.36**	**98.88**
Total Shareholders Funds	**109.82**	**213.18**	**103.36**	**94.12**
NON-CURRENT LIABILITIES				
Long Term Borrowings	13.82	34.37	20.55	148.70
Long Term Provisions	4.32	6.18	1.86	43.06
Total Non-Current Liabilities	**18.15**	**40.56**	**22.41**	**123.47**
CURRENT LIABILITES				
Short Term Borrowings	4.24	9.03	4.79	112.97
Trade Payables	52.13	72.12	19.99	38.35
Other Current Liabilites	59.85	73.26	13.41	22.41
Short Term Provisions	1.4	1.61	0.21	15.00
Total Current Liabilites	**117.56**	**156.02**	**38.46**	**32.72**
Total Capital And Liabilities	**245.52**	**409.75**	**164.23**	**66.89**
ASSETS				
NON-CURRENT ASSETS				
Tangible Assets	23.17	51.62	28.45	122.79
Intangible Assets	0	0.17	0.17	
Capital Work-in-Progress	1.05	3.23	2.18	207.62
Fixed Assets	**24.21**	**55.02**	**30.81**	**127.26**
Defered Tax Assets[Net]	1.42	0.36	-1.06	-74.65
Other Non-Currrent Assets	4.48	9.69	5.21	116.29
Total Non-Current Assets	**30.12**	**65.07**	**34.95**	**116.04**
CURRENT ASSETS				
Inventories	66.92	178.1	111.18	166.14
Trade Receivables	47.14	52.83	5.69	12.07
Cash And Cash Equivalents	87.13	65.14	-21.99	-25.24
Other Current Assets	14.21	48.61	34.4	242.08
Total Current Assets	**215.41**	**344.68**	**129.27**	**60.01**
Total Assets	**245.52**	**409.75**	**164.23**	**66.89**

INTERPRETATION

- **There is a huge improvement in liquidity position of the company as working capital increased by about 92% in the given time period.**

WORKING CAPITAL (Rs.)			
Mar-18	**Mar-22**	**Change**	**% Change**
97.85 cr.	188.66 cr.	90.81 cr.	92.81%

- **Working Capital = Current Assets -Current Liabilities**

- **Company's fixed assets have increased over the given years, contributing to its valuation.**

FIXED ASSETS (Rs.)			
Mar-18	**Mar-22**	**Change**	**% Change**
24.21 cr.	55.02 cr.	30.81 cr.	127.26 %

- **There is no change in the share capital of the company.**

  Share Capital stood at Rs. 5.29cr. in the given time period.

- **Company's long-term borrowings rose from Rs.13.82cr. in 2018 to Rs. 34.37 cr. in 2022. This shows company's dependence on such borrowings increased during this time period. But too much dependence may increase company's financial obligations.**

LONG-TERM BORROWINGS (Rs.)			
Mar-18	**Mar-22**	**Change**	**% Change**
13.82 cr.	34.37 cr.	20.55 cr.	148.69%

5.3 COMMON-SIZE BALANCE SHEET

E	F	G
COMMON-SIZE BALANCE SHEET		
Particulars	2018(%)	2022(%)
EQUITIES AND LIABLITIES		
SHAREHOLDER'S FUNDS		
Equity Share Capital	2.2	1.3
Total Share Capital	2.2	1.3
Reserves and Surplus	42.6	50.7
Total Reserves and Surplus	42.6	50.7
Total Shareholders Funds	**44.7**	**52.0**
NON-CURRENT LIABILITIES		
Long Term Borrowings	5.6	8.4
Long Term Provisions	1.8	1.5
Total Non-Current Liabilities	**7.4**	**9.9**
CURRENT LIABILITES		
Short Term Borrowings	1.7	2.2
Trade Payables	21.2	17.6
Other Current Liabilites	24.4	17.9
Short Term Provisions	0.5	0.4
Total Current Liabilites	**47.9**	**38.1**
Total Capital And Liabilities	**100**	**100.0**
ASSETS		
NON-CURRENT ASSETS		
Tangible Assets	9.4	12.6
Intangible Assets	0	0.0
Capital Work-in-Progress	0.4	0.8
Fixed Assets	9.9	13.4
Defered Tax Assets[Net]	0.6	0.1
Other Non-Currrent Assets	1.8	2.4
Total Non-Current Assets	**12.3**	**15.9**
CURRENT ASSETS		
Inventories	27.3	43.5
Trade Receivables	19.2	12.9
Cash And Cash Equivalents	35.5	15.9
Other Current Assets	5.8	11.9
Total Current Assets	**87.7**	**84.1**
Total Assets	**100**	**100**

5.4 COMMON-SIZE PROFIT & LOSS ACCOUNT

J	K	L
COMMON-SIZE PROFIT & LOSS A/C		
Particulars	2018(%)	2022(%)
INCOME		
Revenue from Operations [Net]	100	100
Other Operating Revenues	1.2	1.3
Total Operating Revenues	101.2	101.3
Other Income	2.0	0.6
Total Revenue	**103.3**	**102.0**
EXPENSES		
Cost of Materials Consumed	33.7	41.6
Purchase of Stock-in-Trade	11.1	15.9
Changes in Inventories of FG, WIP and Stock-in Trade	3.0	-5.8
Employee Benefit Expenses	13.9	11.2
Finance Costs	0.8	0.6
Depreciation and Amortisation Expns	0.7	0.7
Other Expenses	2.7	25.7
Total expenses	**89.8**	**90.0**
Profit/Loss Before Exceptional, Extr Ordinary Items and Tax	**13.5**	**11.9**
Profit/Loss Before Tax	13.5	11.9
Tax Expenses- Continued Operations		
Current Tax	4.5	3.0
Deffered Tax	0.1	0.1
Total Tax Expenses	4.6	3.1
Profit/Loss After Tax And Before ExtraOrdinary Items	8.9	8.9
Profit/Loss From Continuing Operts	8.9	8.9
Profit/Loss For The Period	**8.9**	**8.9**

5.4.1 INTERPRETATION

COMMON-SIZE BALANCE SHEET

- Percentage of Reserves & Surplus increased in Shareholders' funds by around 8% through 2018-2022.
- Proportion of Shareholders' funds in total capital rose & is more than half, i.e., 52%, of Total capital & liabilities in 2022.

  This depicts that company is focusing more on financing through shareholders funds than through outsiders funds, though long-term & short-term borrowings tripled & doubled, respectively.
- Proportion of inventories in current assets increased by almost 15% in 2022 in comparison with 2018. This may be because of mismanagement of stock demand due to factors such as overbuying, cancelled orders, inaccurate projections or late delivery of goods.
- Cash & cash equivalents in current assets showed a decrease of 20% approximately. This may be due to company's preference for making cash payments of purchases as trade payables also decreased over the period.

COMMON-SIZE PROFIT & LOSS ACCOUNT

- There is an increase in the purchase of stock-in-trade as the proportion rose from 11.1% in Mar.2018 to 15.9% in Mar. 2022.
- Proportion of total expenses in revenue from operations remained almost the same, signifying increase in expenses with increase in revenue.
- The company has more closing stock than opening stock as changes in inventory for Mar. 2022 are negative.
- Net Profit Margin remained the same in both the years.

5.5 RATIO ANALYSIS

5.5.1 LIQUIDITY RATIOS

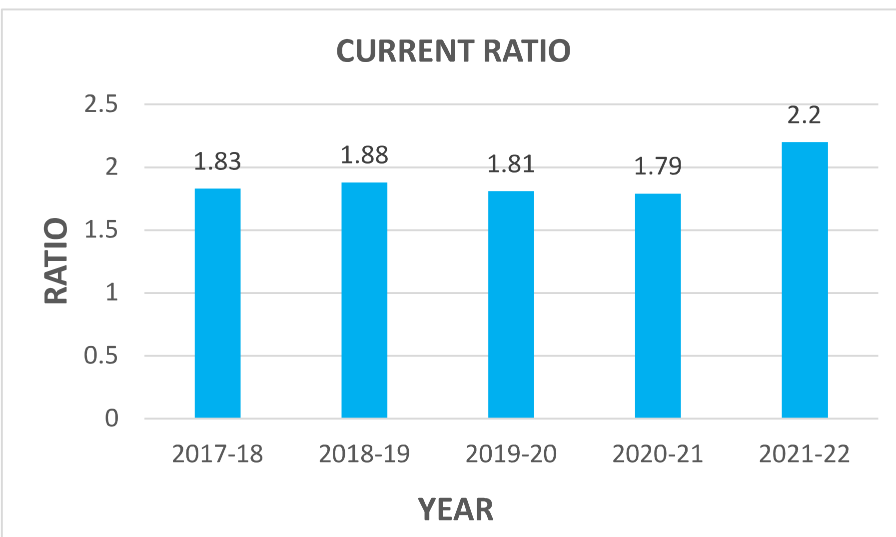
❖ **CURRENT RATIO**

Current Ratio = Current Assets/Current liabilities

Table showing current ratios from 2018-2022.

YEAR	CURRENT ASSETS (Rs. Cr.)	CURRENT LIABILITIES (Rs. Cr.)	RATIO
2017-18	215.41	117.56	1.83
2018-19	232.80	123.28	1.88
2019-20	256.74	141.58	1.81
2020-21	332.56	185.74	1.79
2021-22	344.68	156.02	2.2

INTERPRETAION: - Generally, current ratio of 2:1 is considered as standard. From table, it is clear that company has maintained a satisfactory current ratio over the given period and this ratio has only increased in 2022.



❖ LIQUID RATIO

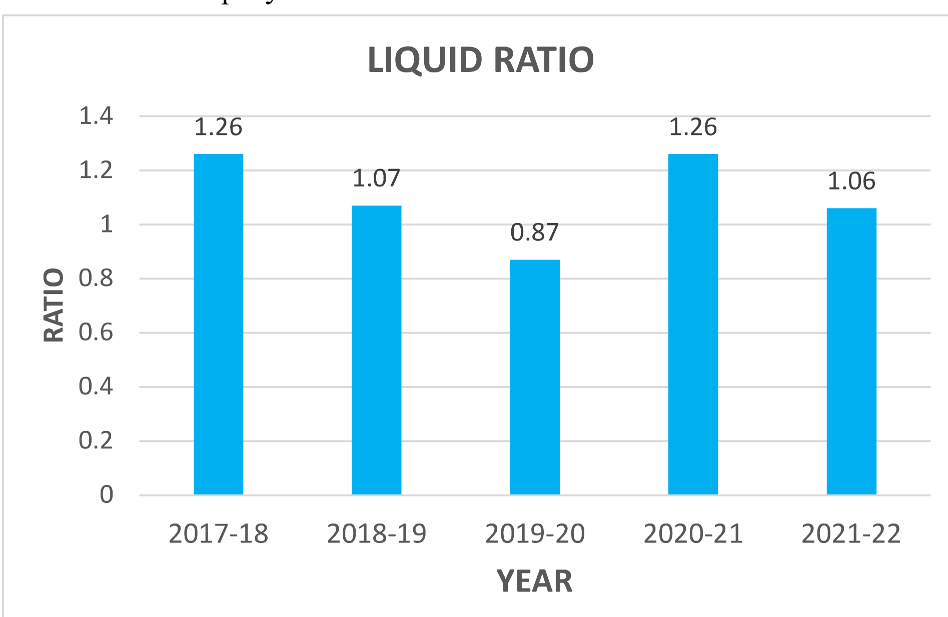
Liquid Ratio = Liquid assets/Current Liabilities

*Liquid assets = Current Assets- (Stock +Prepaid expenses)

Table showing liquid ratios from 2018-2022:

YEAR	LIQUID ASSETS (Rs. Cr.)	CURRENT LIABILITIES (Rs. Cr.)	RATIO
2017-18	148.49	117.56	1.26
2018-19	132.74	123.28	1.07
2019-20	123.73	141.58	0.87
2020-21	235.38	185.74	1.26
2021-22	166.58	156.02	1.06

INTERPRETAION: - Generally, quick ratio of 1:1 is considered as satisfactory. From table, it is evident that company's quick ratio remained near the standard level ensuring safe liquid position to the company.



❖ ABSOLUTE LIQUID RATIO

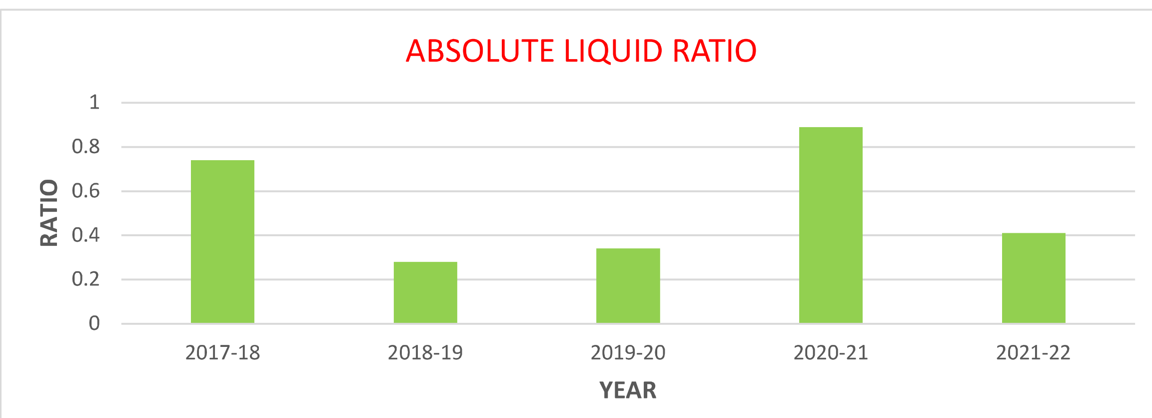
Absolute Liquid Ratio = Absolute Liquid Assets/ Current Liabilities

*Absolute Liquid Assets = Cash + Bank + Short-term Securities

Table showing Absolute Liquid Ratios from 2018 to 2022:

YEAR	ABSOLUTE LIQUID ASSETS (Rs. Cr.)	CURRENT LIABILITIES (Rs. Cr.)	RATIO
2017-18	87.13	117.56	0.74
2018-19	35.20	123.28	0.28
2019-20	48.48	141.58	0.34
2020-21	167.08	185.74	0.89
2021-22	65.14	156.02	0.41

INTERPRETAION: -Usually, Absolute liquid ratio of 0.5:1 is considered safe. It can be noticed from the table that this ratio was quite low in 2018-19 but in the next 2 years it improved significantly, except in 2021-22 where it reduced by double may be because of coronavirus.



All the three liquidity ratios of the company are almost satisfactory depicting that company is in a good liquidity position and can easily meet its short-term financial obligations.

5.5.2 SOLVENCY RATIOS

❖ DEBT-EQUITY RATIO

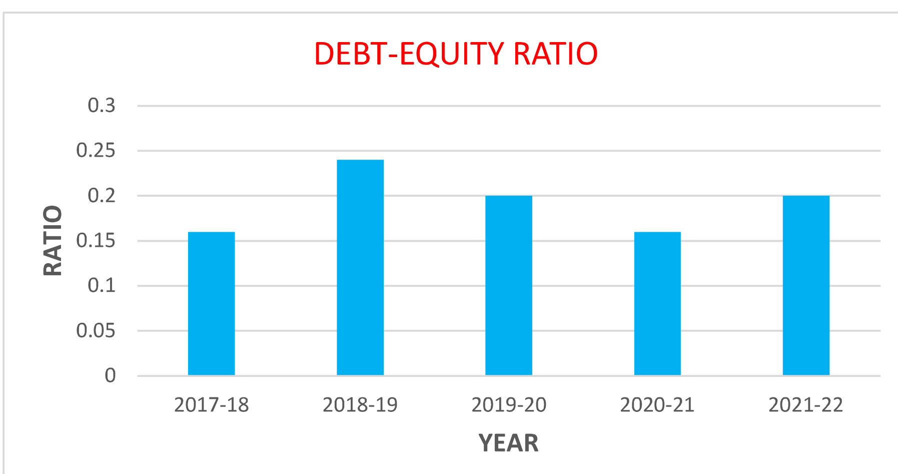
Debt-Equity Ratio = Outsiders Funds/Shareholders' Funds

*Outsiders Funds = Long-term Debt + Short-term Debt

Table shows Debt-Equity Ratio from 2018-2022

YEAR	OUTSIDERS FUNDS (Rs. Cr.)	SHAREHOLDERS' FUNDS (Rs. Cr.)	RATIO
2017-18	18.06	109.82	0.16
2018-19	28.31	118.61	0.24
2019-20	28.07	139.65	0.20
2020-21	27.86	177.62	0.16
2021-22	43.4	213.18	0.20

INTERPRETAION: -Generally, a debt-equity ratio of 1:1 is considered good. But there is no rule of thumb for this ratio. Looking at company's particular ratio, it can be concluded that debt financing is significantly less as compared to funding from shareholders.



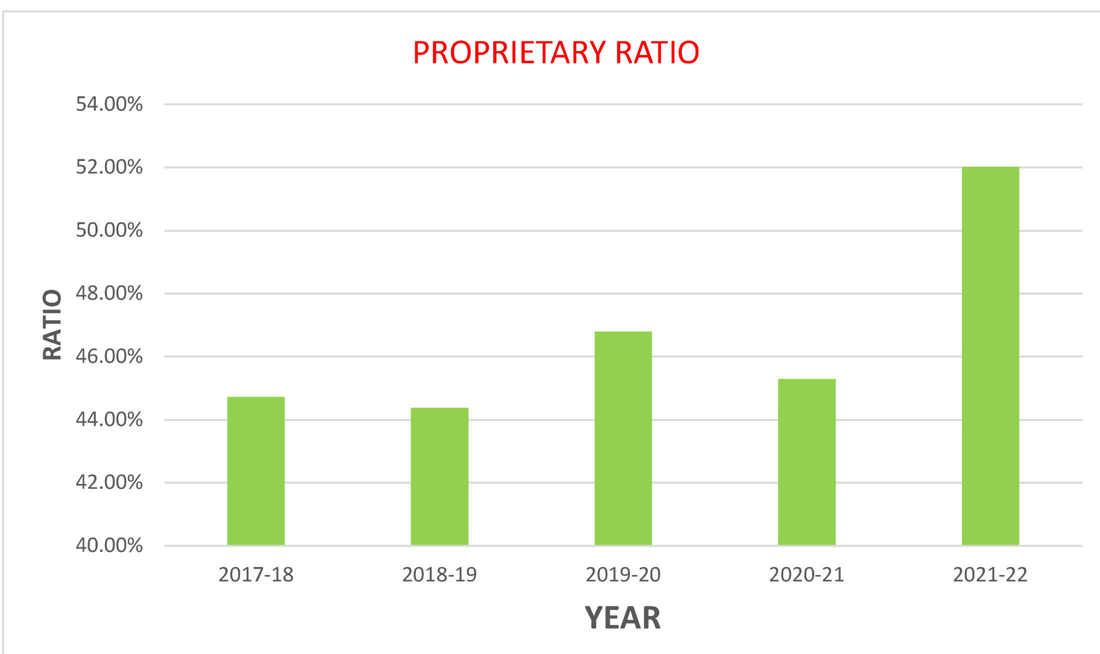
❖ PROPRIETARY RATIO

Proprietary Ratio = Shareholders' Funds/Total Assets

Table showing Proprietary Ratio from 2018-2022:

YEAR	SHAREHOLDERS' FUNDS (Rs. Cr.)	TOTAL ASSETS (Rs. Cr.)	RATIO
2017-18	109.82	245.52	44.73%
2018-19	118.61	267.24	44.38%
2019-20	139.65	298.34	46.81%
2020-21	177.62	392.04	45.3%
2021-22	213.18	409.75	52.02%

INTERPRETATION - Usually, Proprietary ratio of 50% is considered as ideal. Company's proprietary ratio is almost close to the standard and has improved in the year 2021-22. This depicts low risk to the creditors of the company.



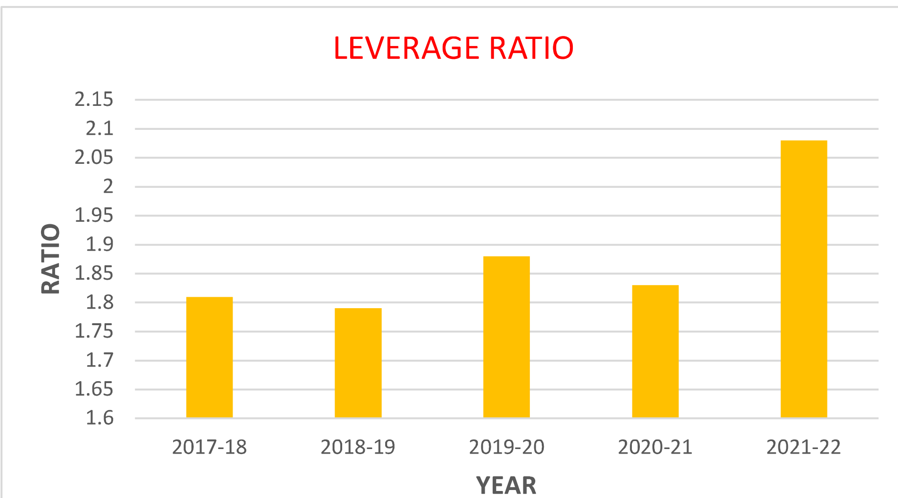
❖ LEVERAGE RATIO

Leverage Ratio = Total Assets/ Total Debt

Table showing Leverage Ratio from 2018-22:

YEAR	TOTAL ASSETS (Rs. Cr.)	TOTAL DEBT (Rs. Cr.)	RATIO
2017-18	245.52	135.71	1.81
2018-19	267.24	148.63	1.79
2019-20	298.34	158.68	1.88
2020-21	392.04	214.42	1.83
2021-22	409.75	196.58	2.08

INTERPRETAION: - Generally, leverage ratio of 1:1 is considered as ideal. From table, it is clear that company's ratio is more than 1. This indicates that company's assets are sufficiently more than the liabilities of the company.



All the solvency ratios of the company are quite satisfactory depicting that company is in a good solvency position and can easily meet its long-term financial obligations.

5.5.3 PROFITABILITY RATIOS

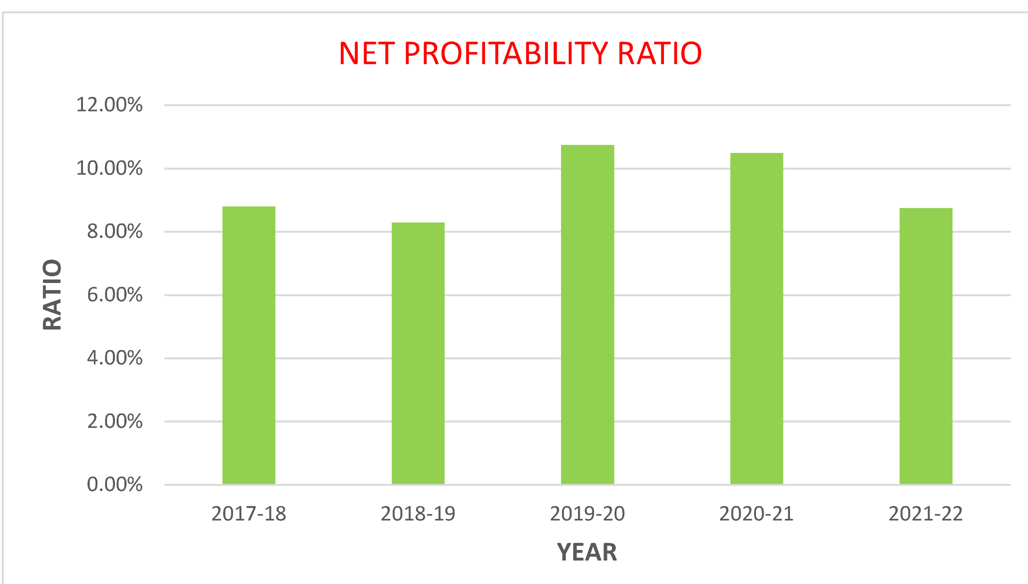
❖ **NET PROFIT RATIO**

Net Profit Ratio = Net Profit/Net Sales*100

Table showing Net Profit Ratio from 2018-22:

YEAR	NET PROFIT (Rs. Cr.)	NET SALES (Rs. Cr.)	RATIO
2017-18	48.68	552.56	8.80%
2018-19	54.22	652.84	8.30%
2019-20	72.49	673.87	10.75%
2020-21	80.64	768.46	10.49%
2021-22	83.89	958.01	8.75%

INTERPRETAION: - The ideal Net Profit Ratio is 5%-10%. It is evident from the table that company's net profit ratio has remained within (even higher than) the safe limit throughout the given time period.



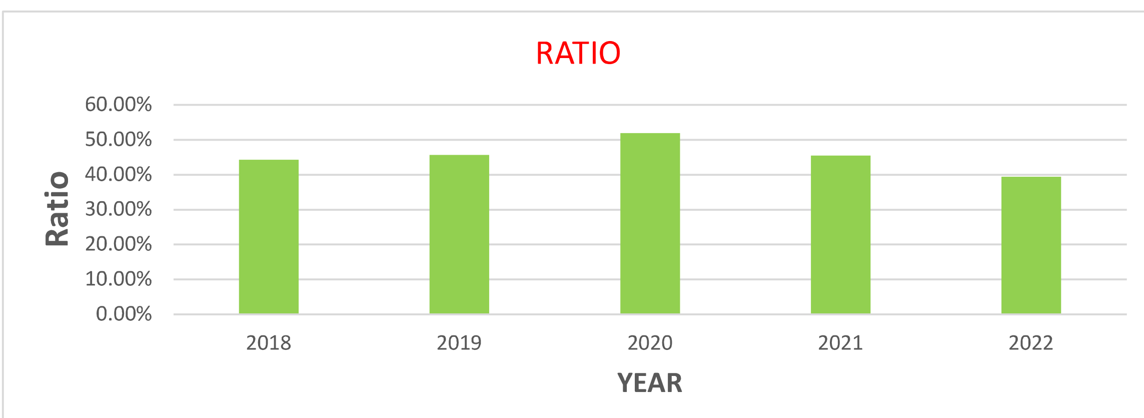
❖ RETURN ON SHAREHOLDERS' INVESTMENT

Return on Shareholders' Investment = Net Profit after interest and tax/ Shareholders' Funds*100

Table showing Return on Investment from 2018-22:

YEAR	PROFIT AFTER INTEREST AND TAX (Rs. Cr.)	SHAREHOLDERS' FUNDS (Rs. Cr.)	RATIO
2017-18	48.68	109.82	44.32%
2018-19	54.22	118.61	45.71%
2019-20	72.49	139.65	51.9%
2020-21	80.64	177.62	45.4%
2021-22	83.89	213.18	39.35%

INTERPRETAION: - As this ratio reveals how well the resources of a firm are being used, higher the ratio, better are the results. In this case, this ratio is generally higher which indicates that investment in company offers high returns. But it is also noticeable that this ratio has declined over the given period.



Both the profitability ratios are satisfactory indicating company's good performance and assurance of good returns to investors.

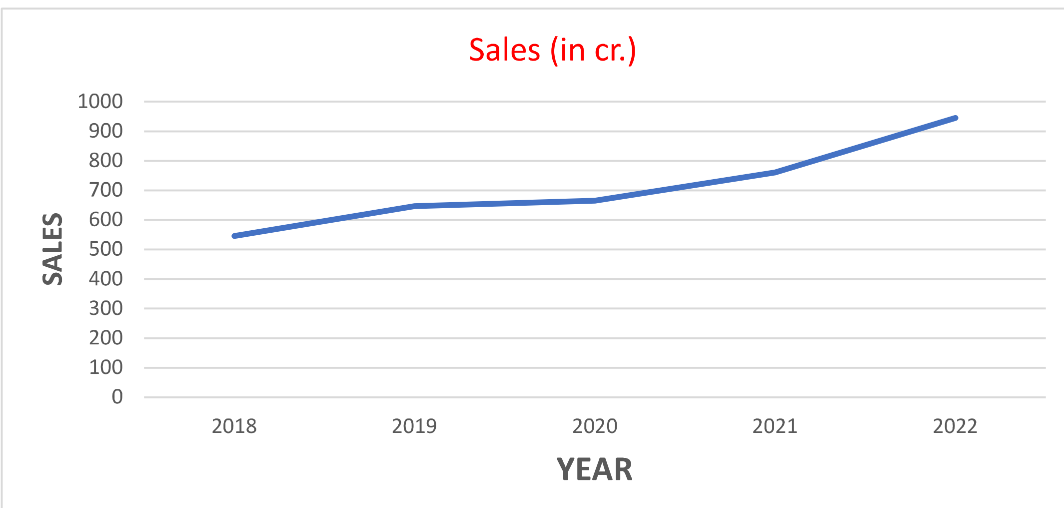
5.6 TREND ANALYSIS

Components used for trend analysis:

- SALES
- NET PROFIT
- EXPENSES
- RESERVES & SURPLUS

SALES

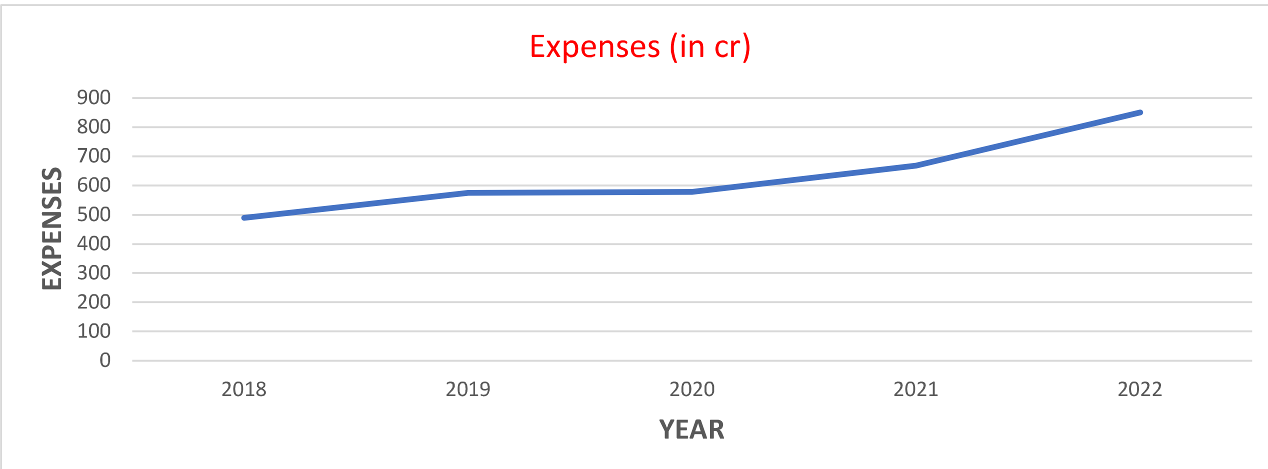
Years	Sales (in cr.)
2018	545.77
2019	646.8
2020	665.64
2021	760.75
2022	945.37



INTERPRETAION: - In the years 2018-2021, there was a stable growth in the sales figures of the company. In the year ending 2022, company saw a sharp increase in these figures with a rise of almost Rs.185cr. This may be due to bouncing back of the economy from the Corona period.

EXPENSES

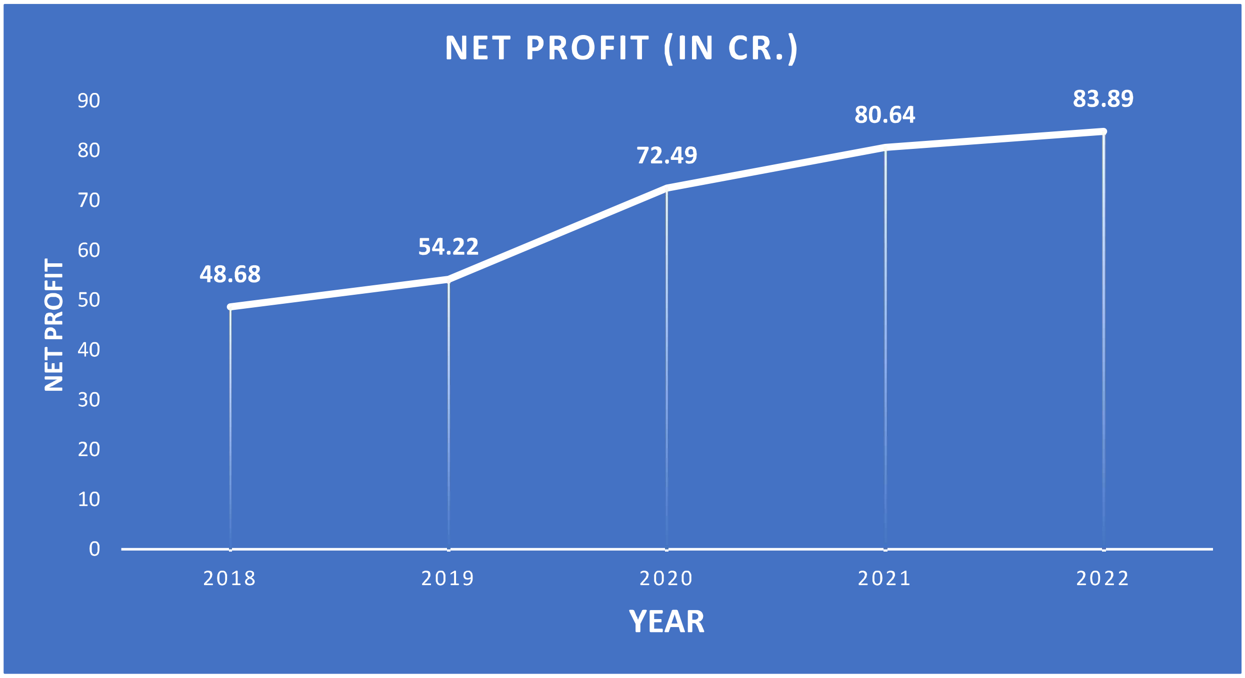
Years	Expenses (in cr.)
2018	489.84
2019	574.64
2020	578.7
2021	667.72
2022	850.97



INTERPRETAION: **-** Expenses show almost similar trend as can be seen in case of sales. In the year 2022, company's expenses showed a sharp rise and these may have incurred in order to earn higher revenues.

NET PROFIT

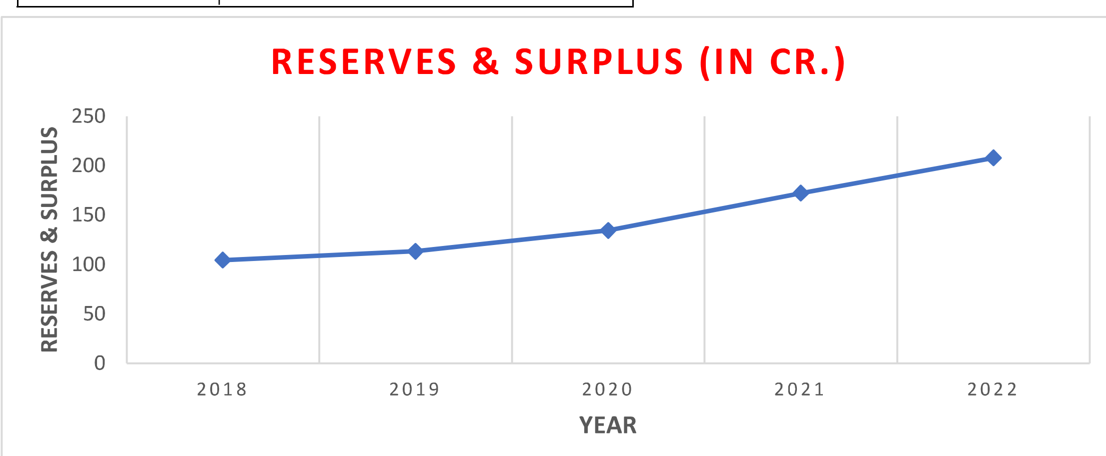
Years	Net Profit (in cr.)
2018	48.68
2019	54.22
2020	72.49
2021	80.64
2022	83.89



INTERPRETAION: - Company's profits have shown a stable growth over the given time period indicating its good financial performance. It also indicates that company managed its performance even during the adverse times.

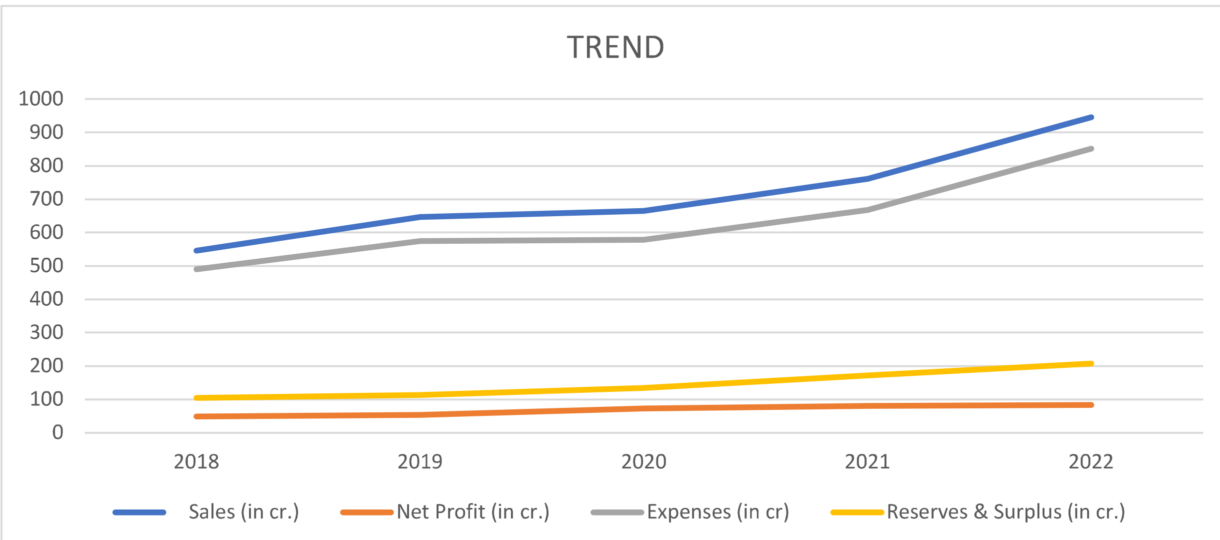
RESERVES & SURPLUS

Years	Reserves & Surplus (in cr.)
2018	104.53
2019	113.33
2020	134.37
2021	172.34
2022	207.89



INTERPRETAION: - It is evident from the trend, that company's reserves and surplus have increased over the time period. An increase of more than double in the amount from 2018 to 2022 can be noticed. When company is retaining more, it means company has more growth opportunities or may be better investment opportunities than its individual investors.

TRENDS TOGETHER



INTERPRETAION: - Trends together show that revenues and expenses are growing in almost similar proportions, profits remained stable and reserves showed a steady growth.

CHAPTER 6:

FINDINGS & SUGGESTIONS

6.1 FINDINGS

- Company's liquidity position improved throughout the given time period and it is evident from current, liquid and absolute liquid ratios.
- Adequate working capital is a necessity for efficient management of day-to day operations. The company not just maintained an adequate level but its working capital increased by around 92% between 2018-22.
- Company also expanded its fixed assets which can be a boost to its valuation.
- Company's solvency position is also satisfactory.
  It is evident from solvency ratios that company is relying more on shareholders' funds for financing than on outsiders' funds.
- Company has also managed to maintain a healthy net profit margin.
- Returns on shareholders investments are also impressive.
- Company's revenues and expenses both increased by around Rs. 200 cr. And profits have shown a steady growth.
- Company's investment in inventories increased substantially and cash and cash equivalents declined over the period.

6.2 SUGGESTIONS

- Company has locked more amount in inventory in the year ending 2022 than earlier years. This may prove unproductive for the company. So, it should focus on maintaining an adequate level of inventory.
- Company is using relatively less debt than shareholders fund for financing. I would suggest it to use a little more debt for enjoying financial leverage.
- Company's expenses are rising in the same proportion as the revenues. It should try to reduce expenses to increase the profit margin.
- Company is having large amounts of shareholders funds. It can use this fund for research and development or for other beneficial investment opportunities.
- Cost of materials consumed is increasing consistently. An effort to minimize this cost should be made.
- Cash and cash equivalents decreased by almost Rs. 100cr and have shown high fluctuations over the period. Required heed should be paid to maintain its adequacy.

CHAPTER 7: CONCLUSION

CONCLUSION: -

Finance is the life blood of every business concern. If it is not properly managed, it can cause adverse effects on the organization.

A financial statement of a concern communicates to its user the financial position of the firm. The significance of this statement lies not only in its preparation but in its analysis and interpretation as well. And to understand this concept, a study of financial statements of ABC Limited was done by me.

This study helped me to analyse the liquidity and efficiency of the business and its management.

Conclusion drawn with analysis and interpretation of the financial statements of the concern is as follows: -

- The financial position of company is quite satisfactory.
- It's liquidity position has improved over the given time period.
- Though company is performing a little bad in area of expenses, but the way it's performing leads to a hope that there is further scope of improvement.

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ANNEXURE

FINANCIAL STATEMENTS OF ABC LIMITED

Balance Sheet	------------------- in Rs. Cr. -------------------				
	Mar 22	Mar 21	Mar 20	Mar 19	Mar 18
	12 mths	12 mths	12 mths	12 mths	12 mths
EQUITIES AND LIABILITIES					
SHAREHOLDER'S FUNDS					
Equity Share Capital	5.29	5.29	5.29	5.29	5.29
Total Share Capital	**5.29**	**5.29**	**5.29**	**5.29**	**5.29**
Reserves and Surplus	207.89	172.34	134.37	113.33	104.53
Total Reserves and Surplus	**207.89**	**172.34**	**134.37**	**113.33**	**104.53**
Total Shareholders Funds	**213.18**	**177.62**	**139.65**	**118.61**	**109.82**
NON-CURRENT LIABILITIES					
Long Term Borrowings	34.37	23.06	13.12	21.34	13.82
Long Term Provisions	6.18	5.62	3.98	4.00	4.32
Total Non-Current Liabilities	**40.56**	**28.68**	**17.10**	**25.35**	**18.15**
CURRENT LIABILITIES					
Short Term Borrowings	9.03	4.80	14.95	6.97	4.24
Trade Payables	72.12	76.55	49.31	52.77	52.13
Other Current Liabilities	73.26	103.05	75.65	62.47	59.85
Short Term Provisions	1.61	1.34	1.67	1.08	1.34
Total Current Liabilities	**156.02**	**185.74**	**141.58**	**123.28**	**117.56**
Total Capital And Liabilities	**409.75**	**392.04**	**298.34**	**267.24**	**245.52**
ASSETS					
NON-CURRENT ASSETS					
Tangible Assets	51.62	38.92	32.19	26.43	23.17
Intangible Assets	0.17	0.09	0.10	0.06	0.00
Capital Work-In-Progress	3.23	2.78	1.99	1.78	1.05
Fixed Assets	**55.02**	**41.79**	**34.29**	**28.27**	**24.21**
Deferred Tax Assets [Net]	0.36	0.86	1.31	1.68	1.42
Other Non-Current Assets	9.69	16.83	5.99	4.50	4.48
Total Non-Current Assets	**65.07**	**59.49**	**41.60**	**34.45**	**30.12**
CURRENT ASSETS					
Inventories	178.10	97.18	133.01	100.06	66.92
Trade Receivables	52.83	40.00	50.21	78.55	47.14
Cash And Cash Equivalents	65.14	167.08	48.48	35.20	87.13
OtherCurrentAssets	48.61	28.30	25.03	18.99	14.21
Total Current Assets	**344.68**	**332.56**	**256.74**	**232.80**	**215.41**
Total Assets	**409.75**	**392.04**	**298.34**	**267.24**	**245.52**

Profit & Loss account	------------------- in Rs. Cr. -------------------				
	Mar 22	**Mar 21**	**Mar 20**	**Mar 19**	**Mar 18**
	12 mths	12 mths	12 mths	12 mths	12 mths
INCOME					
Revenue From Operations [Gross]	**945.37**	**760.75**	**665.64**	**646.80**	**549.82**
Less: Excise/Sevice Tax/Other Levies	0.00	0.00	0.00	0.00	4.05
Revenue From Operations [Net]	**945.37**	**760.75**	**665.64**	**646.80**	**545.77**
Other Operating Revenues	12.64	7.71	8.24	6.04	6.79
Total Operating Revenues	**958.01**	**768.46**	**673.87**	**652.84**	**552.56**
Other Income	5.86	7.32	3.18	4.14	11.09
Total Revenue	**963.87**	**775.78**	**677.05**	**656.99**	**563.65**
EXPENSES					
Cost Of Materials Consumed	393.18	246.11	237.12	246.75	183.67
Purchase Of Stock-In Trade	150.03	83.85	78.61	74.29	60.67
Changes In Inventories Of FG,WIP And Stock-In Trade	-54.39	35.23	-25.66	-27.65	16.17
Employee Benefit Expenses	106.19	100.95	93.73	90.82	76.09
Finance Costs	6.06	4.73	3.99	3.98	4.14
Depreciation And Amortisation Expenses	6.66	5.33	4.71	4.01	3.66
Other Expenses	243.24	191.50	186.19	182.44	145.44
Total Expenses	**850.97**	**667.72**	**578.70**	**574.64**	**489.84**
	Mar 22	**Mar 21**	**Mar 20**	**Mar 19**	**Mar 18**
	12 mths	12 mths	12 mths	12 mths	12 mths
Profit/Loss Before Exceptional, ExtraOrdinary Items And Tax	**112.91**	**108.06**	**98.35**	**82.34**	**73.81**
Profit/Loss Before Tax	**112.91**	**108.06**	**98.35**	**82.34**	**73.81**
Tax Expenses-Continued Operations					
Current Tax	28.27	26.85	25.34	27.95	24.64
Deferred Tax	0.75	0.58	0.52	0.17	0.49
Total Tax Expenses	**29.02**	**27.43**	**25.87**	**28.13**	**25.13**
Profit/Loss After Tax And Before ExtraOrdinary Items	**83.89**	**80.64**	**72.49**	**54.22**	**48.68**
Profit/Loss From Continuing Operations	**83.89**	**80.64**	**72.49**	**54.22**	**48.68**
Profit/Loss For The Period	**83.89**	**80.64**	**72.49**	**54.22**	**48.68**